

Table 25.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Measure the height of the pattern from the top of the board to the plunge low. Add the height to the high price in the board. The result is the target price. The bottom half of the table shows how often this works.
Stop location	Place a stop at the location of your choice, using the results in Table 25.7 as guidance. You may wish to avoid using a stop to remain in the trade longer.
Ride the bounce	Buy the stock after the plunge completes with the expectation that price will recover to the board. This is high risk.
Lower plunge	Avoid diving board patterns that make a second, lower plunge. Figure 25.5 shows an example at B1.
Buy breakout	Place a buy stop when price closes above the peak price in the board portion of the pattern. Be prepared to hold for years to achieve the highest price but monitor the trade.

Description	Up Breakout
Percentage reaching half height target	79%
Percentage reaching full height target	62%
Percentage reaching 2× height	41%
Percentage reaching 3× height	29%

Once you know the height, you can divide it by the breakout price and check it with [Table 25.3](#), failure rates. In the Sample Trade, we'll find that the height of a diving board pattern is 16.49 with a breakout price of 80.53 or 20.5%. [Table 25.3](#) says that 28% of the patterns will fail to see price rise more than 20% (the closest to 20.5%). So you have a 72% chance of having a winning trade. That's quite good, but it depends on how you trade, of course.

Stop location. [Table 25.7](#) discusses stop placement, so make sure you check that table to understand the likelihood of being stopped out. Also, convert the potential loss into a percentage of the buy price. If the